

CODE OF CONDUCT AND ETHICS

1. Introduction

The Company aims to be the industry leader by achieving excellence in everything it does including standards of business conduct. This objective shall be achieved by adopting a policy to conduct its business with responsibility, integrity, fairness, transparency and honesty.

The purpose of this code of conduct is to promote conduct of business ethically in an efficient and transparent manner and to meet its obligations to shareholders and all other stakeholders. This code of conduct is also a tool in carrying out the company's social responsibility in a more effective manner. This code sets out a broad policy for one's conduct in dealing with the company, fellow directors and employees and the external environment in which the company operates.

2. Application of this code

This code of conduct applies to all the Directors and Senior Executives, of the Company. Senior Executives shall mean the members of core management team of the Company excluding Board of Directors and shall comprise of all the members of management one level below the executive directors, including all functional heads.

3. Regulatory Compliance

The Company is committed to high standards of Corporate Governance and believes in compliance with all the laws and regulations both in letter and spirit. The Company has endeavoured in setting standards for itself, which are ahead of time and higher than those stipulated by the law. The Company is committed to provide in time, accurate and complete information as required, to all concerned including its stakeholders.

Every Director and Senior Executive of the Company shall, in his business conduct, comply with applicable laws and regulations, both in letter and in spirit, in all the territories in which they operate.

4. Respect for Individual

The Company's vision is based on inspiring and unleashing creative potential in human assets of the Company. This is possible in an environment where we all respect the rights of those around us. In this direction, the Company shall:

- Treat individuals in all aspects of employment solely on the basis of ability irrespective of race, caste, creed, religion, age, disability, gender, sexual orientation or marital status, and
- Not tolerate racial, sexual or any other kind of harassment.



5. Honest and Ethical Conduct

The Directors and senior executives of the Company should act in accordance with the highest standards of personal and professional integrity, honesty and ethical conduct. Honest conduct is conduct that is free from any fraud or deception. Ethical conduct is the conduct conforming to the accepted professional standards of conduct and shall include ethical handling of actual or apparent conflicts of interest between personal and professional relationships.

6. Conflicts of Interest

The Directors and Senior Executives shall not engage in any activity or enter into any pecuniary relationship which might result in conflict of interest, either directly or indirectly.

A "conflict of interest" occurs when an individual's private interest directly or indirectly interferes or appears to interfere with the Company. The directors and senior executives must act at all times in the company's best interests and avoid putting themselves in a position where their personal interests conflict or appears to conflict with the interest of the company. The personal interests will include those of their relatives. Any director or senior executive, who is aware of a conflict of interest or is concerned that a conflict might develop, is required to disclose the matter promptly to the Board of Directors in case of a director and to the Whole Time Director in case of senior executive.

7. Concurrent Employment

The senior Executives of the company shall not without the prior approval of the Whole Time Director/CEO of the Company, accept employment or a position of responsibility (such as consultant or a Director) with any other Company, nor provide "free Lance" services to anyone. In case of Whole Time Director/ CEO such prior approval must be obtained from the Board of Directors or the Company.

8. Confidential Information

When handling financial and personal information about customers or others with whom the Organization has dealings, observe the following principles:

- Collect, use, and retain only the personal information necessary for the Organization's business. Whenever possible, obtain any relevant information directly from the person concerned. Use only reputable and reliable sources to supplement this information.
- Retain information only for as long as necessary or as required by law. Protect the physical security of this information.
- Limit internal access to personal information to those with a legitimate business reason for seeking that information. Use only personal information for the purposes for which it was originally obtained. Obtain the consent of the person concerned



before externally disclosing any personal information, unless legal process or contractual obligation provides otherwise.

9. Fair dealing

The Company does not seek competitive advantages through illegal or unethical business practices. Each director and senior executive should endeavour to deal fairly with the Company's customers, service providers, suppliers, competitors and employees. No director or senior executive should take advantage of anyone through manipulation, concealment, abuse of privileged information, misrepresentation of material facts, or any unfair dealing practice. The Directors and Senior Executives shall immediately bring to the notice of the Board and Whole Time Director, respectively, any unethical behaviour and actual or suspected fraud.

10. Protection and proper use of Company Assets

The assets of the Company shall not be misused by the Directors and Senior Executives during the course of conducting the business of the Company or otherwise. The assets include tangible assets such as equipment and machinery, systems, facilities, materials, resources, etc. as well as intangible assets such as proprietary information, process, design, etc. whether patent or not, relationships with customers and suppliers, etc.

Do not use Company assets for your personal benefit or the benefit of anyone other than the Company.

11. Wealth Creation

Creating shareholder value is the key to success in today's marketplace. There is increasing pressure on corporate executives to measure, manage and report the creation of shareholder value on a regular basis. In the emerging field of shareholder value analysis, various measures have been developed that claim to quantify the creation of shareholder value and wealth. Shareholders wealth creation has become the new corporate paradigm in recent years.

Evidence indicates that increasing shareholder value is the key to success in today's marketplace. Increasing shareholder value does not conflict with the long-run interests of other stakeholders. Indeed, it supports these interests and motivates organizational constituents to seek out, manage, and measure the drivers that lead to improving shareholder value. The Directors and Senior Executives shall be committed to enhance the shareholders' worth/ value and shall strictly comply with all regulations and laws that govern shareholders' rights.

12. Corporate Social Responsibility

The company is achieving commercial success in ways that honour ethical values and respect people, communities and the natural environment by minimising any negative environmental and social impacts and maximising the positive ones. Company shall adopt this Code of Corporate Social Responsibility that draws upon internationally recognized



standards to promote social and environmental responsibility in the workplace. This code is to ensure that its employees are treated with respect and dignity and that its manufacturing processes are environmentally responsible. Moreover, the company believes that no organisation can survive in isolation and it has a responsibility towards public at large.

13. Safety, Health and Environment

The Company's vision envisages no compromise in its commitment to safety, health and responsible care for the environment. Health and safety of the people in and around its area of operations are of paramount importance to the Company.

The Company is committed to environment protection, pollution control and maintenance of ecological balance. The Company shall maintain high standards of pollution control, environment protection and safety.

14. Financial and Operational Integrity

The Company is committed to disclose in its financial statements all the information required to be disclosed under the relevant accounting standards or under any laws or regulations. It is essential to record all the transactions fully and properly in the financial statements.

Internal accounting and audit procedures shall fairly and accurately reflect all the Company's business transactions and disposition of assets. The fees and compensation payable to the directors – both executive and non-executive, shall be fixed by the board and approved by the shareholders as per the applicable provisions of law and the same will be fully disclosed in the Annual Report to the Members.

No record entry or document shall be false or misleading and no undisclosed or unrecorded account, fund or asset shall be established or maintained. The auditors shall be provided full access to all information and records of the Company. The Company will not knowingly assist fraudulent activity by others.

15. Company Records

The Company records should be maintained in such a way that they are in full compliance with all rules, laws and regulations. Adequate precautions should be taken to protect them from falling into wrong hands, which could harm Company's business interests. They should be kept up to date and free from any misleading or wrong information. Important records should be stored in a safe place and properly marked.

16. Cost Consciousness

All employees are expected to strive for optimum utilization of available resources. They shall exercise due care to ensure that all costs incurred are reasonable and there is no wastage of resources. Every time a cost is incurred, proper evaluation of such cost vs



benefits should be done, as if the expenditure was being incurred for self. Proper approvals as per Company policies should be taken before any costs are committed.

17. Implementation

Directors and senior executives are accountable for full compliance with this code of conduct, Sanctions for breach of this Code shall be determined by the Board of Directors in case of Directors and Whole Time Director in case of senior executives. Sanctions may include serious disciplinary action, removal from office as well as other remedies, all to the extent permitted by law and as appropriate under the circumstances.

A formal implementation and monitoring plan shall be designed to promote awareness of adherence to the Code. Any significant breaches of the Code by the Directors and Senior Executives must be notified to the Board of Directors and Whole Time Director, respectively. The Whole Time Director shall report to the Company's Board on the code's operation and effectiveness along any significant breach of the Code.

18. Procedure:-

- i. In respect of Complaints/ Grievances (hereinafter referred to as 'Disclosures'), those concerning the Directors of the Company and the Vigilance Officer should be addressed to the Chairman of the Audit Committee of the Company and those concerning employees at the level of Head of Departments of the Company should be addressed to the MD of the Company and those concerning the other employees of the Company should be addressed to the Vigilance Officer of the Company.
- ii. Direct access to the Chairperson of the Audit Committee can be made in exceptional cases. The Chairman shall prescribe suitable direction in this regard.
- iii. The contact details of the Chairman of the Audit Committee, Managing Director of the Company and the Vigilance Officer of the Company (hereinafter referred to as 'Appropriate Authority') are as under:

Chairman of the Audit Committee:

Shri Sanjay Kumar Shukla
IAS, Chairman & Director,
MP MKVVCL
MD – MPPMCL, Jabalpur

Managing Director of the Company:

Shri Vivek Kumar Porwal,
Managing Director,
MPMKVVCL,
Nishtha Parisar, Govindpura, Bhopal.



Vigilance Officer of the Company:

Shri Ratnakar Jha
CGM (HR &A)
MPMKVVCL
Nishtha Parisar, Govindpura, Bhopal.

Any changes in the above will be notified suitably on the website.

- iv. The complaint shall be submitted in duly filled complaint form provided herein in *Annexure-I*. Disclosures should be reported in writing so as to ensure a clear understanding of the issues raised and should either be typed or written in a legible handwriting in English or Hindi.
- v. Adequate care shall be taken to keep the identity of the Complainant confidential. In order to protect the identity of the complainant, the appropriate Authority, shall maintain confidentiality of the complainants.
- vi. In the event of the identity of the complainant being disclosed, the Committee is authorized to initiate appropriate action against the person or agency making such disclosure.
- vii. The appropriate Authority shall on the receipt of the Complaints/ Grievances of any of above frauds or events shall make a record of the Complaints/ Grievances and also ascertain from the complainant whether he was the person who made the Complaint/ Grievance or not. Anonymous disclosures will not be entertained.
- viii. The appropriate Authority, if it deems fit, shall call for further information from the complainant.
- ix. Disclosures should be factual and not speculative or in the nature of a conclusion, and should contain as much specific information as possible to allow for proper assessment of the nature and extent of the concern.
- x. The appropriate Authority shall carry out initial investigation for proper assessment of the compliant.
- xi. The appropriate Authority shall carry out detailed investigation if *prima facie* the reported disclosure is found to be sustainable.
- xii. The initial investigation or detailed investigation by the appropriate Authority either by itself or may at its discretion, consider involving any other authority/ person for this purpose, as it may deem fit.
- xiii. The decision to undertake the investigation by the appropriate Authority shall not by itself be regarded as the acceptance of the accusation made. It is a neutral fact finding process to ascertain the truth of the accusation.



- xiv. Any member of the Audit Committee/ the appropriate Authority or such other officer involved in the investigation, having any conflict of interest with the matter shall disclose his/her concern/interest forthwith and shall not deal with the matter.
- xv. The Employee/ Director against whom disclosure has been reported shall:-
- Co-operate with the appropriate Authority or the Committee or any person appointed in this regard.
 - Have a right to consult any person of his choice other than members of Audit Committee/ the appropriate Authority / Investigators and/or Complainant.
 - Shall be free at any time to engage counsel at their own cost to represent them in the investigation proceedings.
 - Not interfere in investigations conducted by the appropriate Authority.
 - Not withhold, tamper or destroy any of evidences.
 - Unless otherwise restricted, be given an opportunity to respond to material findings.
 - Not threaten, influence or intimidate complainant or any of witnesses.
 - Have a right to know the outcomes of investigation.
- xvi. The investigations shall normally be completed within a period of 90 days. If the investigations could not be completed in this period that the appropriate authority shall record reasons for the delay.

19. Decisions:-

If the outcome of the investigation leads to a conclusion that, any improper or unethical act has been committed, then the appropriate Authority shall record the same and recommend the complaint along with the findings upon investigation and reasons thereof to the Audit Committee for the remedial or corrective action, if any required, to be taken against the concerned employee/ director. The decision of the Committee shall be recorded with reasons and a copy of the same shall be forwarded to the complainant and the employee/ Director against whom disclosure has been reported.

20. Reporting:-

The appropriate Authority shall submit a report to the Audit Committee on a regular basis about all the Disclosures referred to him/ her since the last report together with the results of investigations, if any.

21. Display of Mechanism on Website:-

The Company shall display the establishment of Vigil Mechanism herein set up or any subsequent amendment or modification therein on its website. The details of establishment of such Mechanism shall also be disclosed in the Board's Report.



22. Retention of documents:-

All Disclosures in writing or documented along with the results of investigation relating thereto shall be retained by the Company for a minimum period of five years or for such period as may be specified by law in force in this regard from time to time.

23. Amendment:-

The Company reserves its right to amend or modify or cancel this Policy, in whole or in part, at any time without assigning any reason whatsoever.

24. Disqualifications:-

- i. While it will be ensured that genuine Complainant are accorded complete protection from any kind of unfair treatment as herein set out, any abuse of this protection will warrant disciplinary action.
- ii. Protection under this Policy would not mean protection from disciplinary action arising out of false or bogus allegations made by a Complainant knowing it to be false or bogus or with a mala fide intention.
- iii. In respect of such Complainant, who make such Disclosures, which have been subsequently found to be mala fide, frivolous, baseless, malicious, or reported otherwise than in good faith, the Vigilance Officer/ Audit Committee shall recommend appropriate disciplinary action.
- iv. Anonymous disclosures will not be entertained.

25. Interpretation

Any question relating to how this Code should be interpreted or applied should be addressed to the Company Secretary.



Annexure-I

Date: _____

Name of Complainant _____

Email-id _____

Address: _____

Mobile no. _____

Any other contact no. _____

Subject matter which is being reported

Name of Person/ Event focused at:

Brief about concern _____

Evidence (if Any) _____

Signature

(Name in Full)

